

Of the 27 scenarios in Table 6.3, a total of 16 of them favor Brett and 11 of them favor Stephanie. Yes, there is a 60% chance Brett will be better off and a 40% chance that Stephanie will be better off. Indeed, the odds might favor Brett, but this is not a guaranteed way to avoid a poor sequence of returns. Most importantly, notice that in just about all the scenarios for which the market lost money in the first two or three years, Stephanie is better off than Brett. In other words, Brett is not protected from a prolonged bear market.

What could change our results in the real world as opposed to this hypothetical and stylized example? Of course if both Stephanie and Brett decide to spend less (all else being equal), then they have obviously reduced their exposure to sequence-of-returns risk. In the extreme, if neither of them withdraws any money whenever markets are down, they will have immunized themselves against sequence-of-returns risk.

In sum, adopting the so-called buckets approach to retirement income planning will lead to an increased implicit exposure to equities leading to unpredictable fluctuation over time. Moreover, if indeed you experience a poor initial sequence of investment returns so that you have been forced to liquidate all your cash investments, you might find yourself with a 100% equity exposure well into retirement and possibly deep into a bear market. This is in contrast to the nonbucketer (okay, lousy word) who is maintaining the same exact asset mix and hence the same financial risk profile over time. Sure, the market might recover by the time you have to tap into the equity portion—or it might not.

Either way, the strategy I just described does not allow you to hedge your financial capital against the sequence of returns risk. Safety with the buckets approach is just a mirage.

In addition to some of the purely analytic facts about sequence of returns, there is yet another reason why getting a bear market prior to a bull market, or vice versa, might not make much of a difference, which gets back to our original thesis about human capital. As much as you might hate to admit this, if things do go awfully wrong in the stock market, or in your 401(k) or with any of your investments prior to retirement, you can always delay your retirement and work another